

Market Overview & Trends

- **Indian FMCG Industry Market Size by revenue: US\$ 103.7 billion**
- It is the 4th largest sector of the Indian economy
- The FMCG market in India is expected to grow at a CAGR of 23.15% to reach US\$ 103.70 billion by FY21 from US\$ 52.75 billion in FY18
- There are 3 main segments in the sector – **Household & Personal care** accounts for 50%, **Healthcare** 31%, and **Food & Beverages** 19% respectively
- The Urban segment accounts for 55% of the Overall revenue generated by the FMCG sector while the rural segment contributes 45% to the Overall revenue
- Consumer Durables & Non-Durables account for approximately 50% of the household consumption. The Consumer Durables market is expected to reach 21.18 Bn USD by 2025
- The **Gross Merchandise Value (GMV)** of the online grocery segment in India is expected to increase 18 times over the next five years to reach USD 37 billion by FY25

Government Initiatives

- In September 2020, the Government of India planned to offer **production-linked incentives** worth Rs. 78,680 crore(US\$ 10.78 billion) to companies such as consumer appliance, automobile and solar panel to attract companies to establish manufacturing plants in India
- **100% FDI** is allowed in food processing and single-brand retail and **51% in multi-brand retail**
- **Inland Waterways Authority of India (IWAI)** multi-modal transportation project of freight village at Varanasi will bring together retailers, warehouse operators & logistics service providers, and investment worth Rs. 1.7 Billion
- The Union Government's **Production- Linked Incentive (PLI)** scheme gives companies a major opportunity to boost exports
- The **National Policy on Electronics 2019** is targeting production of one billion mobile handsets valued at USD 190 billion by 2025, out of which 600 million handsets valued at USD 110 billion are likely to be exported
- Industrial license is now **not required** for almost all food and Agro-processing industries, **barring certain items** like Alcohol

Consumer Goods Industry Value Chain



COVID-19 Impact

- During the year 2019-20, the FMCG sector witnessed deceleration from the highs of the year 2018. Private consumption slowed down considerably and registered a growth of 5.3% in 2019-20 vs. 7.2% in the previous year
- FMCD Companies are expected to see flat growth in FY21 due to the unsustainable pent-up demand in the long run after the lockdown, especially for high-value purchases
- The consumer trend towards a healthier lifestyle accelerated. Indian FMCG companies embraced this trend and created new emerging products in the healthcare domain
- FMCG companies also saw a surge in contribution of e-commerce to their overall sales as the pandemic led more households to buy groceries online
- Godrej Appliances increased its budget by 150%, while Tata Croma to spend 40% of its overall marketing budget on digital, as compared to the 10-15% earlier

Major players in the Market



Growth Drivers

Ecommerce	Raw Material & Processing
IoT / AI Enabled Devices	Sales & Distribution
Private Labels	Contract Labour Expense
Promotions	Promotions & Adverts

Emerging Trends

Shift of focus to Rural	Purpose driven Brand focus
Millennial & Gen Z Effect	Conscious Living & Eating
D2C & Omnichannel	Digital Ubiquity

Key Performance Indicators

Out of Stock Rate	Cash to Cash Cycle Time	Carrying Cost of Inventory	Margin by Product Category	Brand Preference Vs. Competitors
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